

RBA fears of 20pc house price spiral

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Economics correspondent

Record house price growth last year could be almost completely wiped out by the end of 2024, according to previously secret modelling by the Reserve Bank of Australia.

Prices could fall 20 per cent from their peaks if people become increasingly pessimistic about the property market, either due to rising interest rates or because falling prices spark a downward spiral in the market.

"This is roughly twice as large as what we've assumed in our baseline," notes prepared for a policy meeting of the RBA's August economic committee meeting released under freedom of information revealed.

The bank's central case scenario is for house prices to fall by 1.5 per cent a month for the remainder of the year in Sydney and Melbourne, with a national peak-to-trough decline of 11 per cent by the end of next year as other capitals and regional areas follow Australia's two largest cities.

The documents showed that a slump in the property market in the June quarter surprised RBA economists, given it came before most households began feeling the financial burden from rising interest rates. The backward step forced bank bosses to revisit their earlier models that predicted limited declines.

Already houses and units in nearly four out of five suburbs nationwide, or across 2404 markets, are now worth less than they were three months ago.

The slump in house prices will hit household wealth, which will, in turn, lower household consumption by 1.5 per cent. A fall in prices in line with the bank's downside scenario would spark a further 0.75 per cent drop.

Under the downside scenario, dwelling investment would also be expected to fall further, compounded by capacity constraints.

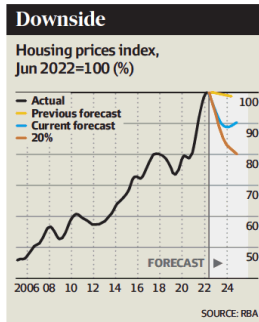
"Further out the level has been downgraded reflecting the steeper cash rate path and declining house prices," the notes said. "A key risk is that housing prices fall by more than we expect."

A key driver will be the pathway for the RBA's official interest rate. The bank's deputy governor, Michele Bullock, last week indicated that rates would keep rising well into next year and a move to smaller increases at the October board meeting was not because the job was almost done.

Ms Bullock said inflation in Australia was still too high.

"Interest rates need to rise to ensure inflation returns to the 2 to 3 per cent band over time and inflationary expectations remain anchored," she told the Australian Finance Industry Association annual conference in Sydney.

"We still feel there is a path for us here where we can get inflation down,



not go into recession, and preserve most of the gains in employment we've had."

The central bank increased the official interest rate by a "business as usual" 0.25 percentage points at its last meeting, taking the cash rate from 0.1 per cent in April to 2.6 per cent.

Speaking ahead of his first federal budget tomorrow, Treasurer Jim Chalmers told *The Australian Financial Review* that high inflation was expected to stay above the RBA's target band for a year longer than expected.

Tomorrow's budget will forecast inflation to peak at 7.75 per cent for the December quarter, in line with the RBA's estimate of 7.8 per cent, however

high energy prices and the floods will make inflation more sticky.

The budget expectation stands in contrast to the message in the RBA's board meeting minutes released last week that a key reason for the central bank slowing its higher rate cycle was due to the potential for inflation to subside quickly.

"In an uncertain environment, there was an argument to slow the adjustment of policy for a time to assess the effects of the significant increases in interest rates to date," the RBA said.

"Drawing out policy adjustments would also help to keep public attention focused for a longer period on the board's resolve to return inflation to target."

AMP Capital chief economist Shane Oliver said the reference to "drawing out" rate rises clearly meant the bank remained on a hawkish footing.

"So it's not done yet. But absent a shock horror inflation result in the week ahead it's likely to stick to 0.25 per cent increments going forward," he said.

Financial markets expect annual headline inflation to hit 7 per cent between July and September and underlying inflation, the Reserve Bank's preferred measure, to surge past 5 per cent in the September quarter report.

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WFH makes businesses change their travel plans

Tess Bennett

A preference for working from home on Mondays and Fridays has led to a spike in mid-week travel for corporate travellers, who are adjusting their schedules to accommodate their new work arrangements.

Tass Messinis, chairman of the Association of Travel Management Companies that represents the top 22 corporate travel agencies with around 25,000 corporate clients, said business travellers had changed their plans to suit flexible working.

"Tuesday is the new Monday for domestic travel," Mr Messinis said.

"There's a bit of a spike happening Tuesday to Thursday because people want to be at home on Monday and Fridays."

He also noted travellers were still wary about flying as frequently as they did in 2019, due to more expensive airfares and the disruption at airports. In addition, fewer day travellers are schlepping between Sydney and Melbourne, opting to book accommodation mid-week.

"There's been a reduction in day travel because of all the disruption and the amount of time it takes to get through security," he said.

Prior to COVID, weekend occupancy was higher than weekdays.

Matthew Burke, STR

"We're also seeing a significant increase in domestic airfares, which is actually stifling the corporate travel community because all of a sudden, now coming up to Sydney for one or two days you're paying \$600 return, whereas pre-COVID you might have been able to do that with less than \$400."

In 2019, Australia's corporate travel market was worth \$6.5 billion annually. Mr Messinis expects that figure will be 15 per cent lower this year as the sector rebounds after lockdowns and border closures.

Benchmarking data from STR, which tracks the hotel industry, shows domestic leisure travel has led the post-COVID recovery for hotels in Sydney, Melbourne and Brisbane.

"Prior to COVID, in Australia weekend occupancy was higher than weekdays by a small margin," said Matthew Burke, a regional director of STR.

Weekend occupancy across the three eastern seaboard capitals averaged 71.8 per cent for the year to September 30. In comparison, Tuesday night averages 60.7 per cent for the three cities in the same time period, STR data found.

"Beyond domestic leisure leading the post-COVID recovery and firstly aiding weekend performance, the greatest opportunity lies midweek with continued improvement in business independent and meeting travel," Mr Burke said.

The return of international travellers, who are agnostic to the day of the week they book, would also improve the midweek market for hotels, he said.

Shantha de Silva, chief operating officer of Pro-invest Group, said properties like the Kington Margot Sydney and Hotel Indigo Brisbane were already just as busy on Tuesday and Wednesday as Saturday.

"Every month confidence builds in the business environment," he said.

Uni students 'ignore costs' in choosing courses

Julie Hare

A radical shift in tuition fees for university students under the Morrison government means that costs for women increased more than for men and for Indigenous students more than non-Indigenous students, while failing to shift to any noticeable degree what applicants choose to study – which was the underlying premise of the changes.

An exhaustive analysis of student preferences in NSW between 2014 and 2022 found there was almost zero change in student enrolment patterns after the introduction of the Job Ready Graduates scheme.

The study by University of Melbourne honours student Max Yong found that demand was so inelastic and insensitive to price that if courses were made free, demand would increase by only 4 per cent. If fees were doubled, demand would decrease by the same amount.

The research confirms previous studies that have shown that lowering the cost of courses in Australia has negligible impact on demand because income-contingent loans – commonly known as HECS – remove price signals.

Under income-contingent loans, students start to repay the government for covering the cost of their tuition when they begin earning \$48,361 a year.

In introducing the Job Ready Graduates legislation in 2020, then-education minister Dan Tehan said the government was "sending a price signal to encourage people to study in areas of expected employment growth".

Under the reforms, costs for students to study law, business, economics and other humanities subjects were not seen as a "national priority"; student contributions increased by 116 per cent to \$14,500, with the government chipping in a further \$100.

All other disciplines attract student fees of between \$3950 and \$7950, with the exception of clinical subjects such as medicine, which cost \$11,500, while government contributions range from \$13,250 to \$27,000.



A policy to push students into certain disciplines has been an abject failure, according to a new analysis. PHOTO: FLAVIO BRANCALONE

Mr Yong's analysis examined 736,000 student applications through the NSW-based Universities Admissions Centre. He found that where demand increased or decreased following Job Ready Graduates, an established trend in that direction was already under way.

For example, demand was already growing for nursing, teaching and agriculture degrees, and already falling for business, arts, politics and history.

"We saw demand for areas such as arts and communications decrease by 9.5 per cent – only 3.95 per cent of that change can be attributed to the actual policy. The rest is explained by pre-existing trends," Mr Yong said.

In early October, the Productivity Commission slammed Job Ready Graduates, describing it as dysfunctional and counterproductive. It noted that price did not affect demand and

There was almost zero change in student enrolment patterns after Job Ready Graduates.

argued that skills shortages were a poor basis for setting subsidies, as students make good choices of their own volition, and forward-looking students would respond to rising wages and strong employment prospects.

Alex Robson, deputy commissioner with the Productivity Commission, said there were two possible ways of setting fees: one was a flat-fee structure and the other charged according to lifetime earnings.

While he acknowledged that neither

was perfect, both were better than the current set-up. "Designing subsidies on the basis of social benefits and then trying to change demand on the basis of those preferential rates is unlikely to be successful," Dr Robson said.

The Job Ready Graduates legislation came with costs attached, Mr Yong said. "The first is giving discounts to degrees in agriculture, teaching and nursing students, for example, which comes as a cost to the taxpayer."

"The other is [that] making prices really expensive for arts and humanities students is going to affect their ability to repay and contribute to the economy."

People with high debts in low-paying occupations might never fully repay their debt, which then becomes a further burden on the taxpayer.

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